

Taxing corporations

The taxation of firms is often a vote winner for politicians – it seems fairer and less painful to impose heavy taxes on large, impersonal corporations than on individual wage earners struggling to support families. But this apparently persuasive idea depends on an assumption that might not always hold. Sometimes disparagingly called the ‘flypaper theory of taxation’, this is the idea that like a fly landing in the glue, the burden of taxes ‘sticks’ wherever it is imposed.

Formally, a corporation pays its own taxes, but who ‘really’ pays them? Consider a tax on an airline. This hits the firm’s profits and it may respond by raising airfares, so consumers end up footing the bill. The tax reduces potential returns from investment, so the firm doesn’t expand its fleet as much as it had planned. It offers fewer flights, leading to still higher airfares and the lay-off of some of its workers. This is just one demonstration of the way that taxes ripple around the economy and have all sorts of unintended consequences.

